

TotalEnergies Marketing Kenya PLC

SUMMARY OF UNAUDITED FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE 2022

STATEMENT OF FINANCIAL POSITION

AS AT	30 JUNE 2022 KShs'000	31 Dec 2021 KShs'000
ASSETS		
Non-current assets		
Property, plant and equipment, and intangible assets	11,820,797	11,838,505
Right-of-use assets	1,607,341	1,726,250
Goodwill	416,679	416,679
Deferred tax asset	393,864	393,864
Total non-current assets	14,238,681	14,375,298
Current assets		
Inventories	10,077,458	7,747,934
Trade and other receivables	15,537,165	14,806,406
Cash and cash equivalents	10,560,785	10,100,456
Total current assets	36,175,408	32,654,796
TOTAL ASSETS	50,414,089	47,030,094

EQUITY AND LIABILITIES

Equity		
Share capital	9,974,771	9,974,771
Share premium	1,967,520	1,967,520
Retained earnings	16,642,449	16,668,532
Total equity	28,584,740	28,610,823
Non-current liabilities		
Lease liability-non current portion	828,021	922,036
Deposits and Provisions	1,011,315	1,317,769
Total non-current liabilities	1,839,336	2,239,805
Current liabilities		
Trade and other payables	19,738,681	15,930,031
Lease Liability-current portion	251,332	249,435
Total current liabilities	19,990,013	16,179,466
TOTAL EQUITY AND LIABILITIES	50,414,089	47,030,094

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE PERIOD ENDED	30 JUNE 2022 KShs'000	30 JUNE 2021 KShs'000
Gross sales	65,441,957	51,821,407
Indirect taxes and duties	(19,205,459)	(17,338,682)
Net sales	46,236,498	34,482,725
Cost of sales	(42,221,745)	(29,815,638)
Gross profit	4,014,753	4,667,087
Other income	748,497	951,547
Operating expenses	(3,329,687)	(3,126,289)
Finance costs	(149,119)	(6,029)
Net foreign exchange losses	(48,253)	(2,839)
Profit before tax	1,236,191	2,483,477
Tax charge	(440,602)	(781,585)
Other comprehensive income, net of tax	-	-
Total comprehensive income for the year	795,589	1,701,892
Earnings per share (basic and diluted) (Kshs)	1.26	2.70

STATEMENT OF CHANGES IN EQUITY

FOR THE PERIOD ENDED 30 JUNE 2022	Share Capital KShs'000	Share Premium KShs'000	Retained Earnings KShs'000	Total Equity KShs'000
As at 1 January 2021	9,974,771	1,967,520	14,918,006	26,860,297
Dividends declared - 2020	-	-	(988,382)	(988,382)
Profit for the year	-	-	2,738,908	2,738,908
Other comprehensive income	-	-	-	-
Total comprehensive income	-	-	2,738,908	2,738,908
As at 31 December 2021	9,974,771	1,967,520	16,668,532	28,610,823
As at 1 January 2022	9,974,771	1,967,520	16,668,532	28,610,823
Dividends declared - 2021	-	-	(821,672)	(821,672)
Profit for the period	-	-	795,589	795,589
Other comprehensive income	-	-	-	-
Total comprehensive income	-	-	795,589	795,589
As at 30 June 2022	9,974,771	1,967,520	16,642,449	28,584,740

STATEMENT OF CASH FLOWS

FOR THE PERIOD ENDED	30 JUNE 2022 KShs'000	30 JUNE 2021 KShs'000
CASH FLOWS FROM OPERATING ACTIVITIES		
Operating profit before Working Capital Changes	2,388,663	3,095,384
Increase in inventories	(2,329,524)	(1,601,046)
(Increase)/Decrease in trade and other receivables	(730,759)	1,450,287
Increase/(Decrease) in trade and other payables	2,755,559	(1,641,461)
Working Capital Changes	(304,724)	(1,792,220)
Cash generated from operations	2,083,939	1,303,164
Tax paid	(685,280)	(741,522)
Net cashflows from operating activities	1,398,659	561,642
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property, plant and equipment, prepaid operating leases and intangible assets	(843,681)	(597,456)
Proceeds on disposal of property, plant and equipment and right-of-use assets	13,490	280,867
Interest received	177,987	113,326
Net cash generated from/(used in) investing activities	(652,204)	(203,263)
CASH FLOWS FROM FINANCING ACTIVITIES		
Interest paid	(286,126)	(76,636)
Net cash used in financing activities	(286,126)	(76,636)
Net increase in cash and cash equivalents	460,329	281,743
As at 1 January	10,100,456	9,591,950
Cash and cash equivalents as at 30 June	10,560,785	9,873,693

COMMENTARY ON 2022 UNAUDITED HALF YEAR RESULTS

The Board of Directors of TotalEnergies Marketing Kenya PLC is pleased to announce the unaudited half-year results for 2022.

Operating environment

During the period, international oil and gas prices, while being volatile, have continued to rise due to market disruptions linked to geopolitical conflicts. These have exacerbated the upward trend of fuel prices in the country as well as working capital requirements of the Company.

Financial Performance

The Company's performance remained resilient with positive profit before tax of KShs 1,236 million (2021: KShs 2,483 million)

Net sales increased by 34% in the period resulting majorly from sales performance and the increased fuel prices. The Company's gross profit decreased to KShs 4,015 million (2021: KShs 4,667 million) mainly due to lag in price adjustment arising from a sharp increase in fuel prices. Other income decreased to KShs 748 million (2021: KShs 951 million) due to the absence of a non-recurring sundry income arising from gain on disposal of land assets that was realized in 2021. However, the revenues from diversified investments in Shops, Food and Services (SFS) and income from partnerships with third parties increased in the period compared to 2021.

The increase in operating expenses is mainly attributable to the increased business activities post-Covid and depreciation arising from increased investments. The increase in working capital requirements emanating from increase in oil prices and compensation from the government fuel stabilization program led to increased financing costs in the review period.

The Foreign Exchange loss increased to KShs 48 million (2021: KShs 3 million) mainly due to the sharp depreciation of the Kenya Shilling against the US Dollar in the period.

The Company's cashflow position remained strong given the effective management of working capital.

Dividend

The Board of Directors does not recommend payment of an interim dividend.

Outlook

The business environment remains challenging due to the volatility and high levels of global fuel prices. The Company's priority is to continue investing in profitable and sustainable projects, generate positive cashflows and maintain a strong balance sheet.

Despite this particularly challenging context, the Board is confident that the mitigating measures and action plans adopted by Management will yield positive results in the remaining part of the year.

By order of the Board

Eric Fanchini



Managing Director

August 31, 2022



OIL



NATURAL GAS



ELECTRICITY



HYDROGEN



BIOMASS



WIND



SOLAR



TotalEnergies